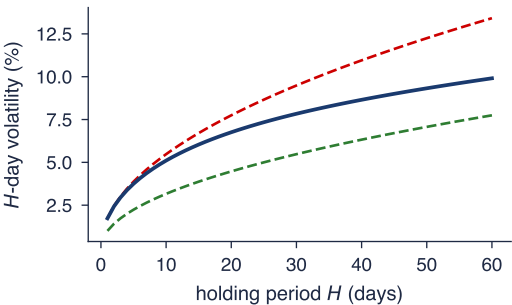


$$\alpha + \beta = 0.95, \sigma_{t+1}^2 = 3, \bar{\sigma}^2 = 1$$



---  $\sqrt{H} \sigma_{t+1}$  (today's level)

— GARCH:  $\sqrt{\sum_{h=1}^H E_t[\sigma_{t+h}^2]}$

---  $\sqrt{H} \bar{\sigma}$  (long-run level)